



5.2 Business Studies Skills

Contents

- * Skills You Need to Demonstrate



Skills You Need To Demonstrate in Your Responses

Knowledge

- You can gain knowledge marks for recognising and showing understanding key **business terms, concepts, formulas, theories, methods and models**
- Knowledge can also be demonstrated by **making relevant points**, such as stating a feature, benefit, drawback or implication
- In this 4–mark response, knowledge has been demonstrated by **giving a definition of the key term** in the question, as well as **giving a correct benefit**:

Explain one benefit to Uber of classifying its drivers as independent contractors. [4 marks]

Independent contractors are not employed directly by a business. The majority of those working under the Uber brand are self-employed drivers so the business will not require an extensive Human Resources management function. This would reduce fixed costs and allow the business to compete on price with rivals in new markets which benefit from significant competitive advantages such as knowledge of local landmarks and routes.

Clear knowledge of the key term

More knowledge shown as a relevant benefit is identified

Application

- You can gain application marks in calculations by using key business formulas in an appropriate context
- Application can also be awarded for the use of market data or business information from stimulus material to support a point
- In this 4–mark response, application has been demonstrated by the **use of information from the case study to support a point** and **recognition of the context** of taxi/ride sharing roles:

Explain one benefit to Uber of classifying its drivers as independent contractors. [4 marks]



Your notes

Independent contractors are not employed directly by a business. The majority of those working under the Uber brand are self-employed drivers so the business will not require an extensive Human Resources management function. This would reduce fixed costs and allow the business to compete on price with rivals in new markets which benefit from significant competitive advantages such as knowledge of local landmarks and routes.

Use of information from the case study

The context of the role is recognised

Analysis

- You can gain analysis marks by developing **logical chains of reasoning**, showing **cause and effect**, **impacts and outcomes**
- The best analysis considers **consequences and impacts** for **individuals and organisations** of **external and internal influences**
- In this 4-mark response, analysis has been demonstrated by a coherent X→Y→Z chain of reasoning that shows **effect and impact**:

Explain one benefit to Uber of classifying its drivers as independent contractors. [4 marks]

Independent contractors are not employed directly by a business. The majority of those working under the Uber brand are self-employed drivers so the business will not require an extensive Human Resources management function. This would reduce fixed costs and allow the business to compete on price with rivals in new markets which benefit from significant competitive advantages such as knowledge of local landmarks and routes.

X

Y

Z

A clear chain of reasoning

X leads to Y, which results in Z

Evaluation

- You can gain evaluation marks by showing **judgement**, **weighing up the relative importance** of factors, **comparing points of view** or **recommending a course of action**
- Top-level evaluation needs to be **balanced**, which requires **both sides of an argument** to be considered in context
- In the **extracts** below, instances of evaluation in the response are highlighted, both within the main body and the concluding paragraph, including:
 - Alternative points of view

- Recommendations
- Consideration of likelihood and significance
- Weighing up impact



Your notes

Assess the likely impact on Aldi's costs if staff choose to leave due to poor working conditions. [12 marks]

Working conditions are the physical surroundings and the atmosphere of the workplace, and the way staff are treated by managers. If staff leave due to poor working conditions Aldi will need to replace them. Failure to do so could lead to worsening customer service. Recruiting new workers involves advertising available roles. This can be done by displaying adverts on store noticeboards or on the Aldi website. Costs would be relatively low.

However, these methods limit the volume and type of applications Aldi receives. Applicants would need to either visit an Aldi store or its website. The pool of applicants from which the HR department could select would be smaller than it could be if other media were used. As a result, Aldi may not recruit the best candidates for store management jobs. This may affect its ability to offer good customer service in its supermarkets.

The 'other side' of the argument

A clear chain of reasoning

X leads to Y, which results in Z